

Expectations falling for US-China AI dialogue

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【メール原文】

The US-China AI dialogue will likely remain limited to narrow technical issues as Beijing calls for US and Chinese companies to be subject to the same|||||||

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United States

AI dialogue likely to fall short in resolving disputes over technology competition. Expectations around a US-China AI dialogue in the run-up to the summit between President Donald Trump and President Xi Jinping on 24 September are falling. The two sides have reportedly yet to agree on a date, agenda, or participants for the discussion, and Beijing's skepticism of Washington's intentions appears to be growing.

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Beijing is arguing that US companies should not unilaterally dictate AI safety rules. On 31 August, Chinese state media criticized the US's rules-setting approach and set two conditions for substantive talks: Washington must distinguish legitimate technology competition from security threats and apply equivalent safety and audit requirements to both US and Chinese AI firms.

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If dialogue advances, it is likely to remain confined to narrow technical issues. Beijing wants technical engagement on issues such as cyber-risks, definition of frontier models, and misuse by non-state actors. Treasury Secretary Scott Bessent, who will likely lead the US side, has framed the dialogue in ways consistent with Beijing's preferences, such as emphasizing safety guardrails to prevent frontier models from being controlled by criminal or terrorist organizations. However, his July threat to sanction Chinese AI companies increases the likelihood that Beijing will view AI safety discussions as an extension of US technology-containment policy.

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Frictions over US norms-setting also flared at the G20. On 1 September, China opposed language in the G20 communique introduced by the US that called for the elimination of "non-market policies" that

exacerbate global imbalances. Beijing may see this year's G20 leaders' summit as a US vehicle for building international consensus against China's trade and industrial policies, increasing Chinese reservations around Xi's attendance.

Economic Policy

Property financing overhaul likely to further depress construction. On 28 August, central authorities issued a package sharply curtailing developers' reliance on presales—selling homes before completion—to finance new projects. Developers must now finish a building's main structure before presales can begin, while buyer funds will be more tightly ring-fenced.

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Beijing is replacing presales funding with longer-term, project-based finance through development loans, bonds, equity, and securitization, while developers may also pay for land in installments.

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The shift will accelerate consolidation in favor of state-owned enterprises and stronger private developers, which have better access to formal credit. But making early-stage financing harder will further weigh on housing starts, construction employment, and local-government land revenue.

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Mortgage rules are being eased to support demand. Maximum tenors will rise from 30 to 40 years, and the debt-service-to-income ceiling will climb from 55% to 60%, reducing monthly payments.

Foreign Policy

China will bolster its standing in the Global South while opposing formal alliances. Xi attended the annual Shanghai Cooperation Organization (SCO) summit in Kyrgyzstan this week, where China's deepening ties with Russia, India, and Central Asia were on display. Xi championed China's support for the Global South and the emergence of a multipolar world while implicitly contrasting Beijing's approach with the "double standards" and "interference and bullying" of Washington.

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China will continue to deepen cooperation with SCO members where it suits Beijing's interests. Xi announced a series of agreements to expand trade, infrastructure, green energy, and AI ties with SCO countries, while avoiding deeper security commitments. China is opposed to the SCO becoming a more formal alliance and the formation of geopolitical blocs more generally.

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There is a limit to how far China will go for Iran. Xi held bilateral meetings with the leaders of Russia, Mongolia, Uzbekistan, and Kyrgyzstan but did not sit down with Iran's president; Xi's public remarks also largely circumvented the topic of the Iran war as Beijing seeks to avoid greater entanglement in resolving the conflict or aligning too closely with Tehran. He will likely have another opportunity to meet with Iran's leadership at the BRICS summit from 12-13 September.

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Beijing will also remain focused on building influence in the Middle East. After leaving the SCO summit, Xi paid his first visit to Egypt in a decade, where he called for the creation of a new regional security architecture that excludes the US. Egypt is an increasingly important node for China's flagship Belt and Road Initiative, while Huawei is expanding its investments in cloud computing and data centers in the country.

Taiwan

Funding approval affirms cross-party interest in homegrown drones. Taiwan's opposition-controlled legislature passed a bill on 27 August providing \$7.56 billion over six consecutive years to procure domestically produced drones through the annual government budget, at up to \$1.26 billion per year. This differed from the Democratic Progressive Party (DPP) government's proposed multi-year special budget of \$6.6 billion to fund drone procurement until 2031.

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The approved plan demonstrates cross-party compromise. The final budget included three critical defense systems requested by the defense ministry—coastal attack drones, coastal reconnaissance drones, and small one-way attack unmanned surface vehicles—which were excluded in the opposition's initial proposals.

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But implementation remains uncertain and will be subject to the annual appropriations process. The government has criticized the budget for its annual spending caps, arguing that this would delay contracts and deliveries. Despite lingering concerns, the cabinet will likely countersign the bill and propose a supplemental budget to the 2027 general budget to seek more drone funding next year. Premier Chou Jung-tai has refused to pass several legislature-approved bills this year, but not countersigning the drone bill would risk sending a negative signal to the domestic drone industry.

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The DPP government will continue to push for defense spending increases to deter Beijing and to keep Washington close. The proposed government defense budget for 2027 will exceed 1 trillion New Taiwan dollars (\$31.48 billion), accounting for more than 3% of GDP, and representing an 18% increase from the previous year.

Standing calls in 2026

Notes underpinning calls:

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Beneath the US-China truce, AI and commercial pressures are mounting , 5 August 2026

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Latest dismissals deepen military turmoil and lower Taiwan risk , 26 January 2026

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Trade confrontation will escalate despite managed pause , 2 July 2026

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Beijing will maintain calibrated pressure campaign against Tokyo , 20 July 2026

Upcoming Events

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12-13 September: BRICS Summit

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24 September: Xi will likely visit the US

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22-29 September: UN General Assembly high-level meetings

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27 September: Six-month deadline for China's trade investigations

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October: 5th Plenum of the 20th CCP Central Committee

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1-7 October: China's National Day/Golden Week

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10 October: Taiwan's National Day

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21-23 October: Bund Summit in Shanghai (estimated dates)

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10 November: End of one-year suspension of US-China tariffs, Bureau of Industry and Security 50% ruling, Chinese export controls, port fees

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18-19 November: APEC summit in Shenzhen

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28 November: Taiwan local elections

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14-15 December: G20 leaders' summit in Miami

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